

If the one basket I owned was Wal-Mart stock, I'd have been delighted to put all my eggs into it. On the other hand, I wouldn't have been too happy to risk everything on a basket of Continental Illinois. Even if I was handed five baskets—one apiece from Shoney's, The Limited, Pep Boys, Taco Bell, and Service Corporation International—I'd swear it was a fine idea to divide my eggs between them, but if this diversification included Avon Products or Johns-Manville, then I'd be yearning for a single, solid basket of Dunkin' Donuts. The point is not to rely on any fixed number of stocks but rather to investigate how good they are, on a case-by-case basis.

In my view it's best to own as many stocks as there are situations in which: (a) you've got an edge; and (b) you've uncovered an exciting prospect that passes all the tests of research. Maybe that's a single stock, or maybe it's a dozen stocks. Maybe you've decided to specialize in turnarounds or asset plays and you buy several of those; or perhaps you happen to know something special about a single turnaround or a single asset play. There's no use diversifying into unknown companies just for the sake of diversity. A foolish diversity is the hobgoblin of small investors.

That said, it isn't safe to own just one stock, because in spite of your best efforts, the one you choose might be the victim of unforeseen circumstances. In small portfolios I'd be comfortable owning between three and ten stocks. There are several possible benefits:

(1) If you are looking for tenbaggers, the more stocks you own the more likely that one of them will become a tenbagger. Among several fast growers that exhibit promising characteristics, the one that actually goes the furthest may be a surprise.

Stop & Shop was a big gainer that I never thought would give me more than a 30–40 percent profit. It was a mediocre company whose stock was declining, and I started buying it in 1979 partly because I liked the dividend yield. Then the story got better and better, both at the supermarkets and at the Bradlee's discount store division. The stock, which I started buying at \$4, ended up at \$44 when the company was taken private in 1988. Marriott is another example of a business whose stock market success I couldn't have predicted. I knew the company was a winner because I had stayed at its hotels countless times, but it never dawned on me how far the stock could go. I wish I had bought a few thousand shares instead of settling for a few thousand of those little bars of soap.

By the way, in spite of all the takeover rumors that fill the newspapers these days, I can't think of a single example of a company that I bought in expectation of a takeover that was actually taken over. Usually what happens is that some company I own for its fundamental virtues gets taken over—and that, too, is a complete surprise.